BUSINESS PLANNING: TAXATION & COMPLIANCE

Suggested Answers
March-April 2025

Answer to the Question# 1(a):

Because of the stopping tax on the ground of the Labour Court, the Nutella PLC may face the following consequences:

- Under section 143, Nutella PLC will be treated as assessee in default. As an assessee in default:
  - The Company will have to pay to the Govt. such amount as it have been deducted from the WPPF.
  - In case of any other failure in compliance with the withholding tax laws, the company may be penalized for upto Tk 1,000,000

- On the other hand, consequences of ignoring the Labor Court Order to stop withholding taxes could result in condemning the order of the Court charges, leading to fines, sanctions, or other legal penalties.

Recommended Remedies:

- Nutella PLC should seek clarity from the National Board of Revenue (NBR) giving a short notice e.g., 15 days, regarding the applicability of withholding tax in light of the Labor Court's order and to exempt Nutella,
- If no satisfactory outcome is achieved from NBR, Nutella PLC may consider filing a Writ petition to the High Court Division of the Supreme Court seeking a direction in this matter.
- With reference to Writ Petition, Nutella should continue withholding the tax but set aside the amount for future payment, pending the resolution of the issue through the steps stated above.
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Answer to the Question# 1(b) (i):

As per (SRO) 208/2017 dated 22nd June 2017, a Project Company incorporated under section 22 of the Bangladesh Public Private Partnership Act 2015 and engaged in the PPP project in Bangladesh in connection with a 'sea port', would be entitled to 100% tax exemption on the profits earned by the project company for a period of 10 years from the date of commencement of the PPP project in Bangladesh. Since SRO has specifically been issued for exemption on same source on income, no other certificate is required to obtain by project company in order claim the exemption on income.
However, this may be in practice that the project manager will have to inform the matter with reference to the SRO to policy department, NBR

Answer to the Question# 1(b) (ii):

As per section 76(6) of the Act, in computing income from exempted source of income of a person, any expenditure disallowed under section 55 of the Act shall be deemed to be income from the said source of income and tax shall be paid on the same at regular rate. Accordingly, even though these disallowances have been excluded from section 56 of the Income tax Act 2023 vide Finance Act 2024, project company has to pay tax on disallowance with respect to excess perquisite, royalties, and overseas traveling expense at regular rate.

Answer to the Question# 1(b) (iii):

As per section 76(5) of the Act, no person shall be exempted from tax under the Act in any assessment year if he fails to comply with following conditions:

- Filing income tax return within tax day
- Filing returns in compliance with section 166 (filing return) and section 171 (Time for filing income tax return and payment of income tax)
- Undertaking the compliance on account of deductions, collections, deposit and filing of WHT return and provisions of Part VII
- All income and received should be in banking channels/transfer

As per (SRO) 208/2017 dated 22nd June 2017, there are few conditions to be fulfilled:

- Obtaining twelve digit TIN number
- Maintaining accounts as per section 35 of the Income tax Ordinance, 1984 (2
- Filing returns in compliance with section 75 of the Ordinance (Section 166 of the Act)

Answer to the Question# 1(b) (iv):

In order to get the benefit of exemption on income, project company has to claim the obtain the nil withholding tax on it income, otherwise, tax will be deducted under section 90 of the Act while receive the payment from customer. Please find below the application for obtaining withholding tax:

Date: ……

To,
Member Taxes Appeal & Exemption
National Board of Revenue
Dhaka, Bangladesh

Attention: Second Secretary (Tax Exemption)

Subject: Request for Issuance of Withholding Tax Exemption Certificate under Section 90 of the Income-tax Act, 2023

Dear Sir,

We, [Entity Name], a project company incorporated under the Companies Act, 1994 and engaged in a Public Private Partnership (PPP) project in Bangladesh, hereby request the issuance of a withholding tax exemption certificate under Section 90 of the Income-tax Act, 2023 read with Rule 4(2) of the Tax Deduction Rules, 2023.

As per SRO 208/2017 dated 22nd June 2017, we are entitled to a 100% tax exemption on the profits earned from the PPP project for a period of 10 years from the date of commencement of the project. We have complied with all necessary requirements and have enclosed the relevant documents for your kind consideration:

1. ETIN certificate
2. Certificate of incorporation
3. Certification from the PPP authority confirming the project company's incorporation for implementing the PPP
4. Supporting document for commencement of work
5. Evidence of filing income tax returns
6. Evidence of undertaking WHT compliances
7. PPP agreement
8. Audited financial statements

In light of the above, we humbly request the issuance of a withholding tax exemption certificate, stating that no tax is deductible from the income of the project company.

Yours faithfully,
[Authorized Signatory]
[Entity Name]

Answer to the Question# 2(a):

Ms. Hamza
Income Year from 1st July 2024 to 30th June 2025
Assessment Year: 2025-26
Computation of total income

Heads of Income	Note	Gross Income (Taka)	Allowable Exemption/ Deductions (Taka)	Total Taxable Income (Taka)
Income from Employment (Section 32)				
Income from Salary for July 2024	1	150,000	50,000	100,000
Gratuity payment received on retirement from the employer	2	25,050,000	25,000,000	50,000
Provident Fund payment received on retirement from the employer	3	2,500,000	2,500,000	-
Income from Financial Asset (Section 35)				
Bank interest received for three quarters on savings certificate	4	187,500	-	187,500
Bank interest received from savings bank account	5	50,000	-	50,000
Income from Agriculture (Section 40)				
Income from sale of Honey	6	100,000	60,000	40,000
Total Income		**28,037,500**	**27,610,000**	**427,500**

Answer to the Question# 2(b):

Computation of Net Wealth as on 30 June 2025

House property at Gulshan (2,000 sq. ft apartment)	20,000,000
Agricultural property	10,000,000
Fixed Deposit	2,500,000
Other Asset	6,000,000
Cash at Bank	1,505,000
Net Wealth as on 30 June 2025	Tk 40,005,000

Answer to the Question# 2(c):

A.	Tax liability on regular basis (female and parent of a disabled child, maximum non-taxable celling is Tk. 450,000)	0.00
B.	Minimum tax on fixed deposit and Savings account [u/s 163(2)]	23,750
C.	Minimum tax on gross receipts [u/s 163(5), applicable only if exceeding Tk. 3 crore]	0.00
	Final Tax liability before surcharge if applicable	23,750
	Surcharge @ 10% (net wealth exceeds Tk. 4 crore, but below 10 crore)	2,375
	Total Tax liability after surcharge	26,125
	Withholding Tax:	
	On Interest on fixed deposits	18,750
	On Interest on saving bank deposits	5,000
	Total withholding tax	23,750
	Net Tax liability taka	**2,375**

Notes:

Note-1	As per para 27 of 6th Schedule of 1/3rd of salary income or Tk. 450,000, whichever is less exempted	150000/3= Tk 50,000 proportionately exempted	
Note-2	As per para 6 of 6th Schedule maximum exemption allowed is Tk. 2.5 crore	25,050,000-2500,000= Tk 50,000 Taxable	
Note-3	As per para 6 of 6th Schedule amount received from recognized PF is fully exempted		
Note-4	Bank interest received for three quarters on savings certificate grossing up	168,750/(1-10%)	187,500
Note-5	Bank interest received from savings bank account grossing up	45,000/(1-10%)	50,000
Note-6	As per section 43, being Ms Hamza does not maintain books & record, allowable deduction is 60%		

Answer to the Question# 3(a) & (b):

Requirement: (a) ***All amount expressed in Crores Taka***

Total tax liability for the projected period considering:

Option-1: if 45% shareholders of Zillion PLC have shares in Startrek Zillion PLC) **82.22**

Option-2: if 80% shareholders of Zillion PLC have shares in Startrek Zillion PLC): **56.86**

Requirement: (b)

Best possible way:

Option-2: Allowing 80% shareholders of Zillion PLC to have shares in Startrek Zillion PLC, enabling the latter to offset carry forward losses and resulting in lower tax liability, leading to savings of Taka (in Crores). **25.36**

Note 1: Tax liability if Startrek Zillion PLC (2025-2027) **82.22**

(Option -1: 45% shareholders of Zillion PLC have shares in the amalgamating company)

Description	Basis	2025	2026	2027
Taxable profit for the current year	Note-3	110.08	130.43	170.57
Losses set off and carried forward	Note-5	-	-	-
Income after set off and carry forward of lossess		110.08	130.43	170.57
Tax liability @ 20%		22.02	26.09	34.11
Tax liability higer of @ 20% or Minmum tax u/s 163	Note-10	22.02	26.09	34.11

Note 2: Tax liability if Startrek Zillion PLC (2025-2027) **56.86**

(Option -2: 80% shareholders of Zillion PLC have shares in the amalgamating company)

Description	Basis	2025	2026	2027
Taxable profit for the current year	Note-3	110.08	130.43	170.57
Losses set off and carried forward	Note-4	110.08	29.92	-
Income after set off and carry forward of lossess		-	100.51	170.57
Tax liability @ 20%		-	20.10	34.11
Tax liability higer of @ 20% or Minmum tax u/s 163	Note-10	2.64	20.10	34.11

Under para 8 (3)(Ga), only option to fulfill the condition of amalgamation ie more than 75% of new companies shareholding and will be eligible for the set off of carry forward losses of old companies/amalgamated companies.

Note:3 Computation of Total Taxable Income as per tax records

Description	Basis	2025	2026	2027
Net Profit before Tax as per Books	Note-6	87.20	104.73	140.28
Add:				
Adjustment for tax depreciation	Note-7	-	0.50	1.00
Adjustment for excess perquisite		3.00	3.50	4.00
Adjustment for Royalty and technical fees expense	Note-8	13.28	14.28	16.22
Adjustment for Promotional expenses	Note-9	6.60	7.43	9.08
Taxable profit		110.08	130.43	170.57

Note 4: Losses set off and carried forward if Startrek Zillion PLC amalgamated under Option-1 (No set off)

Description	Basis	2025	2026	2027
Profit available		110.08	130.43	170.57
Lossess of Startrek Zillion PLC Ltd can not be carried forward and set off by Startrek Zillion PLC as 45% shareholders of Zillion PLC having shares in the amalgamating company will not qualify it as amalgamation under the law [ref. section 8(3)(ga) of Schedule 8 of the ITA 2023]				
Total carried forward and set off			-	-

Note 5: Lossess set off and carried forwad if Startrek Zillion PLC amalgamated under Option-2

Description	Basis	2025	2026	2027
Profit available		110.08	130.43	170.57
Year- 2021		50.00		
Year- 2022		40.00		
Year- 2023		20.08	9.92	
Year- 2024			20.00	-
Year- 2025			-	
Total past losses carried forward and set off		110.08	29.92	-

Note 6: Computation of Net profit before tax as per Books

Description	Basis	2025	2026	2027
Turnover in Crores Taka (improved by 10% post amalgamation)	Pre-amalgamation	400.00	450.00	550.00
	Post-amalgamation	**440.00**	**495.00**	**605.00**
Gross profit (under amalgamation improved by 50 basis points)	In % of turnover	50.50%	50.50%	50.50%
		222.20	249.98	305.53
People related expenses		60.00	62.00	65.00
Marketing and advertisement expenses		40.00	45.00	55.00
Book depreciation		4.00	4.00	4.00
Transportation and other distribution expenses		4.00	4.50	5.50
Other administrative and general expenses		5.00	5.00	5.50
Royalty and technical know-how fees	In % of turnover	5%	5%	5%
		22.00	24.75	30.25
Net Profit before tax as per Books (Disclosed profit)		**87.20**	**104.73**	**140.28**

Note 7: Adjustment for depreciation

Tax depreciation	In Crores Taka	4.00	3.50	3.00
Book depreciation		4.00	4.00	4.00
Adjustment	**In Crores Taka**	**-**	**0.50**	**1.00**

Note 8: Adjustment for Royalty and technical know-how fees [Allowed 10% of disclosed profit u/s 55(uma)]

Royalty expenses to be remitted (claimed in the books)	In % of turnover	5%	5%	5%
		22.00	24.75	30.25
Allowable 10% of disclosed profit	Note-6	8.72	10.47	14.03
Inadmissible to be added back		**13.28**	**14.28**	**16.22**

Note 9: Adjustment for Promotional expenses [Allowed 0.5% of Turnover u/s 55(nia)]

Promotional expenses shown in books	In % of turnover	2%	2%	2%
		8.80	9.90	12.10

Allowable 0.5% of Turnover		2.20	2.48	3.03
Inadmissible to be added back		**6.60**	**7.43**	**9.08**

Note 10: Minimum tax [u/s 163(5)]

Description	Basis	2025	2026	2027
Gross receipts: Turnover in Crores Taka		440.00	495.00	605.00
Minimum tax @ 0.60%		2.64	2.97	3.63

Option-1: if 45% shareholders of Zillion PLC have shares in the amalgamating company				
Tax as per actual calculation		22.02	26.09	34.11
Tax liability whichever is higher		**22.02**	**26.09**	**34.11**

Option-2: if 80% shareholders of Zillion PLC have shares in the amalgamating company				
Tax as per actual calculation		-	20.10	34.11
Tax liability whichever is higher		**2.64**	**20.10**	**34.11**

Answer to the Question# 4(a):

Determination of Transfer Price

Transfer Price under Resale Price Method (RPM)	***Transfer Price under Cost-Plus Method***
=Resale Price−(Resale Price×Gross Margin) =800−(800×30%) =800−240 =560	=Manufacturing Cost+ (Manufacturing Cost×Markup) =500+(500×25%) =500+125 =625

Additional Taxable Income

Transfer Price under Cost-Plus Method - Transfer Price under Resale Price Method (RPM)) * unit transferred
= (625-560) *5,000
=$ 325,000

Answer to the Question# 4(b):

Justification of Cost-Plus Method

Since Biomed Inc. has independent third-party sales of BPDigital under comparable conditions, these transactions can be used as a benchmark. If no comparable transactions exist, external industry data can be considered. The Resale Price Method(RPM) assumes that Biomed Bangladesh performs only limited risk distribution activities, justifying a 30% margin. If Biomed Bangladesh provides marketing, training, after-sales service, or other value-added activities, a lower margin (as in cost-plus) could be justified.

Alternatively, Negotiating an Advance Pricing Agreement with the Bangladesh tax authority can prevent disputes in future tax years and provide certainty on the transfer pricing methodology. The company can argue that the cost-plus method is widely accepted in OECD guidelines for intra-group manufacturing and distributor transactions.

Further, if double taxation arises due to adjustments by Bangladesh tax authorities, Biomed Inc. can seek relief under the Avoidance of Double Taxation Agreement (DTA) between the UK and Bangladesh.

Answer to the Question# 5(a) (i):

As per Section 43 of the VAT & SD Act 2012,

(1) Where a person (the creditor) takes a supply, by way of sale, of the property of another person (the debtor) in full or partial settlement of a debt owed by the debtor to the creditor:

a) the supply shall be deemed to have been made by the debtor;

b) the creditor shall be liable to pay the taxes, if any, payable on the supply;

(2) The debtor and the creditor shall be jointly and severally liable for the payment of the taxes.

So, the VAT & SD Act 2012 requires VAT to be paid on the supply of goods, even in the case of debt recovery.

Answer to the Question# 5(a) (ii):

In case of debt recover, since the supply shall be deemed to have been made by Heritage, his VAT rate shall be 15%, therefore the VAT amount would be BDT 360,000 (2,400,000 x 15%). Hence, Heritage will get a refund of BDT 400,000 – 360,000 = 40,000 instead of 400,000.

Value Added Tax shall be liable to be deposited on a priority basis before any surplus money may be returned to the debtor.

Answer to the Question# 5(b) (i):

Late VAT Registration

Under Section 4 of the VAT and SD Act, 2012, a person must register for VAT once their taxable turnover or estimated turnover exceeds BDT 3 crore within a 12-month period. In Maxwell's case, the registration threshold exceeded in the month of February (BDT 130,00,000+180,00,000), therefore Maxwell shall get registered on the 1st day of March 2024.

It is not correct that registration threshold is computed based on only standard-rated supply. However, ABC Advisory rightly comments that Maxwell was indeed liable for VAT registration earlier as a limited Company irrespective of turnover, and it may face a penalty. While the general penalty for late VAT registration is BDT 10,000, in case of failure to submit return the penalty is BDT 5,000 per month, the VAT authorities shall impose interest on unpaid VAT for the period before registration along with the VAT amount.

Therefore, ABC Advisory's comment is partially valid, and in addition there is a risk of additional financial consequences beyond just BDT 10,000.

Answer to the Question# 5(b) (ii):

Group IT Expenses

While Group IT Expenses qualify as import of services and are subject to VAT under the reverse charge mechanism as per Section 20 of the VAT & SD Act, 2012. The responsibility for withholding and remitting VAT falls on the service recipient as well in Bangladesh

According to the scenario, Maxwell remitted USD 20,000 for group IT expenses but did not pay VAT on this transaction. The remitting bank mistakenly did not ensure collect/payment of VAT on the imported services. As per Law, the deducting entity and the service importer shall be jointly and severally liable for the deduction of tax at source and payment to the Government exchequer. Thus, VAT law hold Maxwell responsible for VAT compliance, regardless of the bank's failure.

Therefore, ABC Advisory's comment is incorrect. Maxwell remains liable for VAT on imported services, even if the bank failed to collect it. The VAT authorities can demand unpaid VAT along with penalties and interest. The company should take corrective action, such as self-disclosure to the VAT authority to avoid penalties.

Answer to the Question# 5(b) (iii):

Input Tax Credit

In accordance to Section 46 of the VAT & SD Act, 2012, a registered persons is entitled to input tax credit against the output tax on taxable supplies made through economic activities, except in the specific cases. The following documents must be in possession of a person at the time of filing a return in support of input tax credit:

- For imports: bill of entry containing the name, address, and BIN of the importer.
- For supplies: tax invoice issued by the supplier Invoice 6.3.
- Treasury challan as evidence of tax payment for import of services.

According to the scenario, VAT authorities conducted an audit but did not challenge the input credit claimed by Maxwell. ABC Advisory identified BDT 34,00,000 of ineligible input credit from June 2024. Thus, it is evident that Maxwell has incorrectly claimed input VAT.

Considering the above, ABC Advisory's comment is factually correct since the VAT authority missed this discrepancy, no immediate action has been taken. However, ABC's assumption is not correct that as vat authority did not detect it so there is no risk remains because:

- The VAT authority can reopen audits and demand repayment with penalties if errors are found later within next 6 years.
- Anytime Vat authority can get back on the based on the doubt or specific information of tax evasion

- If detected, Maxwell may face fines and interest on the wrongly claimed input credit. the amount could be minimum half and maximum equal to the input credit taken along with the simple interest.

Maxwell should voluntarily correct the error to avoid future penalties.

Answer to the Question# 5(c) (i):

At the outset the advertisement services provided by the company falls under the definition of "electronics" services" as defined in section 2(18) of the Act and the said services is provided to both VAT registered and unregistered customers in Bangladesh.

Since, such advertisement services is also provided to VAT unregistered person in Bangladesh, in accordance with section **17(1)(C)(iii)(D)** the same shall be considered as supply made in Bangladesh.

Answer to the Question# 5(c) (ii):

Upon deciding of the fact that the services provided by the company is considered as supply made in Bangladesh, the company needs to look into other parameter of VAT registration like the turnover threshold. If the total turnover of the company for last 12 months or next 12 months exceeds the registration threshold of BDT 50 Lacs, the company would be required to obtain the VAT registration.

Before obtaining of the VAT registration the company being a non-resident company is required to appoint a VAT agent for all VAT compliance on behalf of the company.

Answer to the Question# 5(c) (iii):

Upon obtaining of the VAT registration, the company needs to comply with all VAT compliance applicable for a resident VAT registered person. The company shall submit VAT return through its VAT agent. Other VAT compliance like issuance of Mushak 6.3, Debit Note, Credit note and all other books of accounts etc required by VAT Act 2012 to be followed.

Answer to the Question# 6(a):

In accordance with section 46 (3) of the VAT & SD Act, 2012, input tax credit is available based on the treasury challan of VAT payment against import of service. Further, in accordance with the prevailing VAT guidelines any VAT is required to be deposited in the economic code of respective Commissionerate of the VAT registered entity. In the instant case, since the VAT has been deposited in a separate economic code, VAT authorities have disallowed the same. It may be argued before the tax authority that, since section 46 does not specify the economic code and mentioned that credit is available based on the treasury challan, the instant disallowance of credit is not legitimate. In addition , there is a ways to correct the Treasury Challan and Company management can go for the correction of Treasury Challan too.

However, in order to avoid any future disputes, it is suggested to deposit the applicable VAT by us (Virgo itself) in our Commissionerate's economic code.

Answer to the Question# 6(b):

Section 46 of the VAT & SD Act provides detailed guidelines on eligibility of input tax credit. As per the said section 46 of the Act, there are no such restrictions that if any payment is not made, the corresponding input tax credit is not eligible. Since, there are no such restrictions provided in the law, the company shall be eligible to claim the input tax credit against procurement of "Audit Service" with the Vat Challan 6.3. Since Audit Firm issue VAT Challan 6.3, they have ensure the required VAT payment from their side.

Answer to the Question# 6(c):

In accordance with the global customs nomenclature, delivered ex ship' (DES) is an incoterm under which the seller bears all risk and liabilities till the port of destination. The instant transaction is regular transaction where

the Bangladeshi entity is the Importer on Record and the foreign supplier is the Export on Record and accordingly the supply would not be considered as a local supply in Bangladesh.

Being an exported of goods in Bangladesh, the foreign supplier does not have any local VAT implication in Bangladesh.

Answer to the Question# 7(a) (i):

Total amount that the Customs Authority may demand for the differential of duties and charges if the SAFTA benefit was not applicable for the Raw Material "Y" imported from Pakistan.

Summary:	**In Tk.**
Total duities and taxes payable if SAFTA benefit is not applicable (Note-2)	32,254,397
Total duities and taxes payable if SAFTA benefit is applicable (Note-1)	21,663,491
Amount of duties and taxes would be demanded by Customs Authority	**10,590,907**

Working Note-1:

Assessment of duties and taxes if SAFTA benefit is applicable for Green Ltd

Component		**Currency**	**For the Consignment**
Quantity in kg (300 ton)			**300,000**
FOB Value		USD	**300,000**
Freight		USD	**2,500**
Insurance		USD	**1,000**
CIF value		USD	**303,500**
Landing charge 1% on CIF value		USD	3,035
Value of goods for assessment purpose		USD	306,535
Minimum assessable value US$ 1/kg for 300 tons		USD	300,000
Assessable value (Higher of normal assessable value vs minimum value)		USD	**306,535**
Assessable value in Tk @ 1 USD =	**122.00**	**Taka**	**37,397,270**
Customs duty	5%	Taka	1,869,864
Regulatory duty	3%	Taka	1,121,918
Supplementary duty	20%	Taka	8,077,810
Value of VAT chargeable value			**48,466,862**
Value Added Tax	15%	Taka	7,270,029
Advance Income Tax	5%	Taka	1,869,864
Advance Tax	3%	Taka	1,454,006
Total duities and taxes in Tk		Taka	**21,663,491**

Working Note-2:

Assessment of duties and taxes if SAFTA benefit is not applicable for Green Ltd

Component		**Currency**	**For the Consignment**
Quantity in kg (300 ton)			**300,000**
FOB Value		USD	**300,000**
Freight		USD	**2,500**
Insurance		USD	**1,000**
CIF value		USD	**303,500**
Landing charge 1% on CIF value		USD	3,035
Value of goods for assessment purpose		USD	306,535
Minimum assessable value US$ 1/kg for 300 tons		USD	300,000
Assessable value (Higher of normal assessable value vs minimum value)		USD	**306,535**
Assessable value in Tk @ 1 USD =	**122.00**	**Taka**	**37,397,270**
Customs duty	25%	Taka	9,349,318
Regulatory duty	3%	Taka	1,121,918
Supplementary duty	20%	Taka	9,573,701
Value of VAT chargeable value			**57,442,207**
Value Added Tax	15%	Taka	8,616,331
Advance Income Tax	5%	Taka	1,869,864
Advance Tax	3%	Taka	1,723,266
Total duties and taxes in Tk		Taka	**32,254,397**

Note: USD conversion rate should be considered based on the rate Customs Authority used

Answer to the Question# 7(a) (ii):

According to section 223 of the Customs Act 2023, the amount payable for admitting an appeal is now set at 10% of the disputed demand of duties and taxes. This marks a significant reduction from the previous provision in the Customs Act 1969, where the amount was set at 50% of the disputed demand of duties and taxes.

Answer to the Question# 7(b) (i):

In accordance with section 91 of the Customs Act, 2023, any customs officer not below the rank of Assistant Commissioner may reassess any previous import consignment within the statutory limit of section 204 of the Customs Act, 2023. Further, in terms of section 204 (1) of the Customs Act, such reassessment can be carried out within 3 years from the original assessment. However, in case of false declaration under section 33, there would be no time limit of reassessment.

Considering the aforesaid provisions of the law, it can be concluded that the PCA team has the proper authority to reassess the instant import consignment within 3 years of time limit.

Answer to the Question# 7(b) (ii):

In this case the company shall take the following remedial steps:

1. Submission of a written response against the Show Cause Notice (SCN) issued by the authority.
2. Attending hearing before the authority to explain the written submission or to add any further submission.
3. In case of unfavorable order- the Company may file appeal before the appeal Commissionerate or Appellate Tribunal depending on the rank of officer issuing the order.
4. Appeal to be filed within 3 months from the date of the order.
5. 10% of the demanded amount needs to be deposited before filing of the appeal.
6. Further, appeal may be filed at High Court division of Bangladesh Supreme Court against the order of Appellate Tribunal.

---The End---